

NATIONALIZATION

By 1920, the Government had started taking over India's company-run railways, entering a new phase in which its manner of functioning was more accommodating of public opinion. This period of prosperity was a welcoming change from the havoc of World War I, although stability was still a far-off dream. Then the Great Depression began in October 1929, shaking up the Indian economy and its behemoth, the railways.

In 1879, the British Government in India acquired the East Indian Railway (EIR). It was the beginning of the State taking control of the railways, in a move that was popularly called nationalization. However, it promptly handed over the operations to the private EIR company, scaling back any impact the purchase may have had on its operations. By April 1905, of the 43,380 km of railways, the State owned and administered 8,964 km, while another 21,293 km were State-owned but operated by private companies. The rest were run by private companies or Princely States, so much so that in 1921 there were at least 175 such players owning or operating the railways.

It is because of this that the push towards consolidating the railway network became more concentrated, especially with the appointment of the Acworth Committee (see [Change of Power](#)) by the secretary of state for India in 1921. Its recommendations that the Government takeover the direct management of the railways served as a tipping point in the history of the railways in India. It also lent strength to the public and Indian nationalists' demand for central management.

Mergers and acquisitions

The recommendations of the Acworth Committee saw a sea change in Government policies. It stopped renewing its contracts with private railway companies. As these started lapsing, the rail lines gradually came directly under the Government. The vast networks of the EIR and the